handicraftsmen. The servants of the Company monopolised the sale of raw cotton and made the Bengal weaver pay exorbitant prices for it. Thus, the weaver lost both ways, as a buyer as well as a seller. At the same time, Indian textiles had to pay heavy duties on entering England. The British government was determined to protect its rising machine industry whose products could still not compete with the cheaper and better Indian goods. Even so Indian products held some of their ground. The real blow to Indian handicrafts fell after 1813, when they lost not only their foreign markets but, what was of much greater importance, their market in India itself.

The Industrial Revolution in Britain completely transformed Britain's economy and its economic relations with India. During the second half of the eighteenth century and the first few decades of the nineteenth century, Britain underwent profound social and economic transformation, and British industry developed and expanded rapidly on the basis of modern machines, the factory system, and capitalism. This development was aided by several factors.

British overseas trade had been expanding rapidly in the previous centuries. Britain had come to capture and monopolise many foreign markets by means of war and colonialism. These export markets enabled its export industries to expand production rapidly, utilising the latest techniques in production and organisation. Africa, the West Indies, Latin America, Canada, Australia, China and above all India provided unlimited opportunities for export. This was particularly true of the cotton textile industry which served as the main vehicle of the Industrial Revolution in Britain. Britain had already evolved the colonial pattern of trade that helped the Industrial Revolution which, in turn, strengthened this pattern: the colonies and underdeveloped countries exported agricultural and mineral raw materials to Britain while the latter sold them its manufactures.

Second, there was sufficient capital accumulated in the country for investment in new machinery and the factory system. Moreover, this capital was concentrated, not in the hands of the feudal class which would waste it in luxurious living, but in the hands of merchants and